Type MS · Economies and diseconomies of scale

Answer 1 of 11 · Question 2 part d · 3 marks

2023 JUN · Paper 02 · extract 1 of 7 · find part d in this mark scheme extract

2 (a)	**A02 - 1 mark** Award 1 mark for a valid reason of *IKEA* would employ temporary staff in the context of the business. • At a busy time of the year when a furniture sale is happening requiring more sales assistants **(1)** • If a delivery driver has a long-term illness, then a temporary driver would be required to take over the delivery of flat packed tables and chairs **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Question Number	State **one** financial objective *IKEA* might have. **Answer**	**Mark**
2 (b)	**A02 - 1 mark** Award 1 mark for a financial objective in the context of the business. • *IKEA* wants to increase its market share in the sale of furniture **(1)** • *IKEA* wants to survive in the competitive market of selling home goods **(1)** **NB** Do not accept a financial objective that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Type MS · Economies and diseconomies of scale

Answer 1 of 11 · Question 2 part d · 3 marks

2023 JUN · Paper 02 · extract 2 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why cash flow forecasting is important to a business. **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for why cash flow forecasting is important to a business plus 2 further marks for explaining the reason, for a maximum of 3 marks. • By using a cash flow forecast businesses can plan for the future **(1)** by estimating the amount of revenue coming in **(1)** and also the amount going out of the business **(1)** • By using a cash flow forecast a business can identify periods where there may be insufficient funds **(1)** to carry out the work required **(1)** so they can plan for that situation and make adjustments to enable survival **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why cash flow forecasting is important to a business, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Economies and diseconomies of scale

Answer 1 of 11 · Question 2 part d · 3 marks

2023 JUN · Paper 02 · extract 3 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why diseconomies of scale may occur. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why diseconomies of scale may occur, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • The business may become too large **(1)** which then demotivates employees **(1)** resulting in falling productivity levels **(1)** • The business relies more on bureaucracy **(1)** meaning that more time is spent in administration **(1)** resulting in decision making being slower **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why diseconomies of scale may occur, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Economies and diseconomies of scale

Answer 1 of 11 · Question 2 part d · 3 marks

2023 JUN · Paper 02 · extract 4 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why businesses continually design new products. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for a reason why businesses continually design new products plus 2 further marks for explaining why, for a maximum of 3 marks. • By designing new products, it keeps existing customer interested **(1)** this may mean that they will visit a store to see and purchase the new goods **(1)** increasing profit for the business **(1)** • Fashions constantly change **(1)** and if a business does not introduce new products **(1)** they may find that demand for their products decreases **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why businesses design new products with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Economies and diseconomies of scale

Answer 1 of 11 · Question 2 part d · 3 marks

2023 JUN · Paper 02 · extract 5 of 7 · find part d in this mark scheme extract

Question Number	**Option 1**: above the line promotion **Option 2:** below the line promotion. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – Using social media to advertise its wide range of chairs, may reach out to a worldwide audience • **Option 2** – By using coupons with a discount of 10% off purchasing any bedroom furniture **AO3** • **Option 1** – Social media advertising can target certain age groups and people, encouraging them to visit the stores • **Option 2** – Whilst visiting the store to use their discount vouchers they are more likely to see other goods such as lights to go in the bedroom and purchase them at the same time **AO4** • **Option 1** – However, not everybody uses social media so many people would not be aware of the advert to purchase furniture • **Option 2** – However, there is no guarantee that customers are going to use the coupon or even visit the store, so the advertising costs would be wasted	**(9)**

Type MS · Economies and diseconomies of scale

Answer 1 of 11 · Question 2 part d · 3 marks

2023 JUN · Paper 02 · extract 6 of 7 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Economies and diseconomies of scale

Answer 1 of 11 · Question 2 part d · 3 marks

2023 JUN · Paper 02 · extract 7 of 7 · find part d in this mark scheme extract

Question Number	Define the term **overdraft.** **Answer**	Mark

Type MS · Economies and diseconomies of scale

Answer 2 of 11 · Question 1 part d · 1 mark

2019 JUN · Paper 02 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

1 (a) (i)	**AO1 = 1 mark** **C** – Tertiary	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **A** – Rent	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	We are aware that there is no correct answer to this item. Because of this, all candidates will be awarded 1 mark for this question 1 (a) (iii). An error was made with the multiple-choice distractors. We take our responsibility of ensuring the accuracy of our assessments very seriously and we are reviewing candidate responses to ensure no one is disadvantaged.	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO2 = 1 mark** **D** – Could charge lower prices	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **B** – Reinvested profit	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **A** – 4.03%	**(1)**

Type MS · Economies and diseconomies of scale

Answer 2 of 11 · Question 1 part d · 1 mark

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for correct definition of crowdfunding. • Raising money from many people for a new project via the internet **(1).**	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for correct definition of branding. • A name/symbol/design that identifies and differentiates a product from other products **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 = 1 mark** Award 1 mark for a correct example of a diseconomy of scale in the context of the business. • Communication between *Yellow*'s clothing factory and the retail shops could become difficult in different countries **(1).** Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark

Type MS · Economies and diseconomies of scale

Answer 2 of 11 · Question 1 part d · 1 mark

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

1 (e)	**AO2 = 2 mark** 252 x .17 **(1)** = 42.84 252 + 42.84 = 294.84 **(1)** **OR** 252 x 1.17 **(1)** = 294.84 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**
Question Number	**Answer**		**Mark**
1 (f)	**AO1 = 3 marks** Award 1 mark for identification of an advantage of a business having loyal customers, plus 2 further marks for explaining this advantage for a maximum of 3 marks. • An advantage will be repeat custom **(1)** if customers are loyal they will only shop at that business **(1)** which could increase market share/revenue **(1).** Answers that list three advantages with no explanation will get a maximum of 1 mark. Accept any other appropriate response.		**(3)**

Type MS · Economies and diseconomies of scale

Answer 2 of 11 · Question 1 part d · 1 mark

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The quality of the T-shirts will be better. • Reduction in costs of making the T-shirts. **AO3** • *Yellow*'s reputation will be enhanced leading to higher sales. • There will be fewer returns of T-shirts, which could lead to increased profitability for the manufacturer.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Economies and diseconomies of scale

Answer 2 of 11 · Question 1 part d · 1 mark

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question Number	Answer	Mark

Type MS · Economies and diseconomies of scale

Answer 3 of 11 · Question 3 part a · 1 mark

2021 JUN · Paper 02 · extract 1 of 5 · find part a in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of economies of scale. • When average costs fall as a result of a business increasing in size **(1)**	**(1)**

Question Number	Outline **one** reason why *NEXT* uses special offers. Answer	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a reason why *NEXT* have special offers, plus 1 further mark for linking it to the context of the question. • *NEXT* have special offers to encourage customers to purchase clothes **(1).** Once they have purchased dresses using a special offer they may return to purchase others **(1)** NB Do not accept a reason that is not in the context of *NEXT*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the number of women working at *NEXT*. Answer	Additional guidance	Mark
3 (c)	**A02 - 2 marks** 43,000 X 0.7 **(1)** = 30,100 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Economies and diseconomies of scale

Answer 3 of 11 · Question 3 part a · 1 mark

2021 JUN · Paper 02 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Analyse why *NEXT* would want to remove any communication barriers within its organisation. Indicative content	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • As *NEXT* trades in different countries it will therefore need employees to speak the language of that country. • If *NEXT* has long chains of command it could mean that messages from head office take too long to reach shop assistants. **AO3** • By speaking the language of the customer the staff can communicate and make it easier to increase sales. • The communication could become unclear/inaccurate on its way through the chain of command leading to errors.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Economies and diseconomies of scale

Answer 3 of 11 · Question 3 part a · 1 mark

2021 JUN · Paper 02 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	**Option 1:** job rotation **Option 2:** job enrichment. (e) Justify which **one** of these two options *NEXT* should choose. Indicative content	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By offering job rotation the employees may get to experience different jobs moving from the stock room to working on the shop floor • **Option 2** – With job enrichment *NEXT* employees may find they utilise their skills of displaying the furniture and child clothes in their shop windows **AO3** • **Option 1** – The employees may find the experience of moving from the stock room to the shop floor gives them additional skills and knowledge which can be used within *NEXT* • **Option 2** – The employees will be able to use the new skills of displaying products in applying for different jobs either within *NEXT* or at another business **AO4** • **Option 1** – However, these new experiences and skills may mean that employees could decide to look for other jobs other than remaining employed by *NEXT* • **Option 2** – However, this could incur additional costs for *NEXT* of time and training of the employees	**(9)**

Type MS · Economies and diseconomies of scale

Answer 3 of 11 · Question 3 part a · 1 mark

2021 JUN · Paper 02 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7-9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Economies and diseconomies of scale

Answer 3 of 11 · Question 3 part a · 1 mark

2021 JUN · Paper 02 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Calculate to two decimal places the operating profit margin for *NEXT* in 2019. Answer	Additional guidance	Mark

Type MS · Economies and diseconomies of scale

Answer 4 of 11 · Question 1 part b · 1 mark

2021 NOV · Paper 01 · extract 1 of 5 · find part b in this mark scheme extract

Number		
1 (a) (i)	**AO1 - 1 mark** **D** Human Resources	**(1)**

Question Number	Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **B** Selling assets	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	**AO1 - 1 mark** **C** Cost of sales	**(1)**

Question Number	Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **A** Taxation	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **C** 250%	**(1)**

Question Number	Answer	Mark
1 (a) (vi)	**AO2 - 1 mark** **D** S$42.08	**(1)**

Question Number	Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • An increase in average cost per units **(1)**.	**(1)**

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Type MS · Economies and diseconomies of scale

Answer 4 of 11 · Question 1 part b · 1 mark

2021 NOV · Paper 01 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of job production. • A method of production that involves completing one unit of output at a time **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a financial method of motivation *Artify Studio* could use to motivate its employee in the context of the business. • Employees could be given commission for any art materials they sell **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 285 x 0.12 = 34.20 **(1)** 285 – 34.20 = 250.80 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Economies and diseconomies of scale

Answer 4 of 11 · Question 1 part b · 1 mark

2021 NOV · Paper 01 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a measure of success, plus 2 further marks for explaining this measure, for a maximum of 3 marks. • Market share can be used to measure the success of a business **(1).** Changes in market share will show how well or not the business is doing **(1)** and help them to make decisions for the business **(1).** **NB** Answers that list three measures of success with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Lower interest rates could lead to an increase in the demand for the popular Liberty Art Jam sessions. • The cost of borrowing comes down so *Artify Studio* could pay less on any loans they take out. **AO3** • *Artify Studio* may need to put on additional sessions to cater for the increase in demand, this will lead to an increase in costs but as sales increase this can cover this cost. • This will enable *Artify Studio* to have more funds available to increase advertising and bring in more customers.	**(6)**

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Type MS · Economies and diseconomies of scale

Answer 4 of 11 · Question 1 part b · 1 mark

2021 NOV · Paper 01 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Type MS · Economies and diseconomies of scale

Answer 4 of 11 · Question 1 part b · 1 mark

2021 NOV · Paper 01 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Economies and diseconomies of scale

Answer 5 of 11 · Question 1 part c · 1 mark

2022 JUN · Paper 01 (regional R) · extract 1 of 6 · find part c in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is D – Pay suppliers later** **A –** this is not correct because it will decrease cash-flow **B** – this is not correct because it could increase cash-flow in the long-term but not immediately **C** – this is not correct because it will decrease cash-flow	**(1)**

Question Number	Which **one** of the following is an example of primary market research? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – Postal survey** **A –** this is not correct because it is an example of secondary market research **C –** this is not correct because it is an example of secondary market research **D** - this is not correct as it is an example of secondary market research	**(1)**

Question Number	Which **one** of the following is a fixed cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is A – Rent** **B** – this is not correct because it is a variable cost **C** – this is not correct because it is a variable cost **D** – this is not correct because it is a variable cost	**(1)**

Type MS · Economies and diseconomies of scale

Answer 5 of 11 · Question 1 part c · 1 mark

2022 JUN · Paper 01 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Which **one** of the following is used to calculate the break-even point? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is D – Fixed costs ÷ (selling price – variable costs)** **A –** this is not correct because it is does not calculate the break-even point **B –** this is not correct because it is does not calculate the break-even point **D –** this is not correct because it is does not calculate the break-even point	**(1)**

Question Number	Which **one** of the following is the total cost in euros of buying 2 weeks of salmon? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – €448.58** **A –** this is not correct because it is the cost of 10kgs of salmon in pounds **B –** this is not correct because it is the cost of 10kgs of salmon in euros **C –** this is not correct because it is the cost of 20kgs of salmon in pounds	**(1)**

Question Number	Which **one** of the following is the markup of prawns? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is C – 19.1%** **A –** this is not correct because it is the cost of a kilogram of prawns as a percentage **B –** this is not correct because it is the selling price of a kilogram of prawns as a percentage **D –** this is not correct because it is double the cost of a kilogram of prawns as a percentage	**(1)**

Type MS · Economies and diseconomies of scale

Answer 5 of 11 · Question 1 part c · 1 mark

2022 JUN · Paper 01 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Define the term **job production** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of job production. • When an item is made and finished before the next one is started **(1)**	**(1)**

Question Number	Define the term **diseconomies of scale** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • Rising average costs as units increase **(1)**	**(1)**

Question Number	State **one** method *Can Culleretes* could use to collect quantitative market research. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a method *Can Culleretes* could use to collect quantitative market research in the context of *Can Culleretes.* • *Can Culleretes* could use a questionnaire to get feedback on its new menu from its customers **(1)** **NB:** Do not accept a method that is not in the context of *Can Culleretes.* **Accept any other appropriate response.**	**(1)**

Type MS · Economies and diseconomies of scale

Answer 5 of 11 · Question 1 part c · 1 mark

2022 JUN · Paper 01 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Calculate the net cash flow for *Can Culleretes*. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 4 600 – 3 000 **(1)** = 1 600 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** benefit to a business of improving communication with its employees. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a benefit to a business if it improves communication with employees, plus 2 further marks for explaining the benefit, for a maximum of 3 marks. • Employees will have a clear understanding of what has to be done **(1)** this could mean that fewer mistakes will be made **(1)** leading to an increase in productivity of employees **(1)** **NB** Answers that list three benefits with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Economies and diseconomies of scale

Answer 5 of 11 · Question 1 part c · 1 mark

2022 JUN · Paper 01 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Question Number	Analyse the likely impact on productivity if *Can Culleretes* launch this app. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The app means waiters do not have to take orders at the customer's table • As soon as customers place the order the kitchen will receive the order immediately **AO3** • This will reduce the cost to the business so the waiter can spend more time doing other tasks rather than taking orders • This will increase productivity as it will make for a more efficient ordering system for the restaurant	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Economies and diseconomies of scale

Answer 5 of 11 · Question 1 part c · 1 mark

2022 JUN · Paper 01 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	State **one** impact that government legislation could have on *Can Culleretes*. **Answer**	**Mark**

Type MS · Economies and diseconomies of scale

Answer 6 of 11 · Question 1 part c · 1 mark

2022 JUN · Paper 01 · extract 1 of 6 · find part c in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – Niche marketing** **A –** this is not correct because it is a form of promotion to the whole market **C** – this is not correct because it is a percentage that the business has of a specific market **D** – this is not correct because it is the activity of gathering information about conditions affecting a market	**(1)**

Question Number	Which **one** of the following is a financial aim for a business? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A - Survival** **B –** this is not correct because it is a non-financial aim **C –** this is not correct because it is a non-financial aim **D –** this is not correct because it is a non-financial aim	**(1)**

Question Number	Which **one** of the following is a variable cost? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Raw materials** **A** – this is not correct because it is a fixed cost **B** – this is not correct because it is a fixed cost **C** – this is not correct because it is a fixed cost	**(1)**

Type MS · Economies and diseconomies of scale

Answer 6 of 11 · Question 1 part c · 1 mark

2022 JUN · Paper 01 · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Which **one** of the following is a role of the production function? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is B – Quality control** **A –** this is not correct because it is a role of the human resources function **C –** this is not correct because it is a role of the marketing function **D –** this is not correct because it is a role of the human resources function	**(1)**

Question Number	Which **one** of the following is the markup on the packs of balloons? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is D – 134.72** % **A –** this is not correct because it is the cost of the balloon pack **B –** this is not correct because it is the profit of the balloon pack **C –** this is not correct because it is the profit x cost of the balloon pack	**(1)**

Question Number	Which **one** of the following would a customer in Malaysia pay in MYR for 4 balloon packs? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is D – 206.18 MYR** **A –** this is not correct because it is the price of one balloon pack **B –** this is not correct because it is the price of four balloon packs in Singapore Dollars divided by 3.05 **C –** this is not correct because it is the price of four balloon packs	**(1)**

Type MS · Economies and diseconomies of scale

Answer 6 of 11 · Question 1 part c · 1 mark

2022 JUN · Paper 01 · extract 3 of 6 · find part c in this mark scheme extract

Question Number	Define the term **primary sector.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of primary sector. • The extraction of raw materials from the earth **(1)**.	**(1)**

Question Number	Define the term **diseconomies of scale.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of diseconomies of scale. • When the average unit cost increases due to the growth of a business **(1).**	**(1)**

Question Number	State **one** factor *TBTS* should consider when selecting its manufacturers. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a factor *TBTS* should consider when selecting its manufacturers in the context of *TBTS*. • *TBTS* should select manufacturers that produce toys in an environmentally friendly way **(1)**. **NB** Do not accept a factor that is not in the context of *TBTS* **Accept any other appropriate response.**	**(1)**

Type MS · Economies and diseconomies of scale

Answer 6 of 11 · Question 1 part c · 1 mark

2022 JUN · Paper 01 · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Calculate the total costs for *TBTS*. **Answer**	**Additional guidance**	**Mark**
1 (e)	Calculate the total costs for *TBTS*. **A02 - 2 marks** 555.31 + (0.93 x 160) **(1)** = 704.11 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** advantage of being a sole trader. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of being a sole trader, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Sole traders have full control of their business **(1)** this means they can run the business how they want **(1)** without having to consult with anyone when making decisions **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Economies and diseconomies of scale

Answer 6 of 11 · Question 1 part c · 1 mark

2022 JUN · Paper 01 · extract 5 of 6 · find part c in this mark scheme extract

Question Number	Analyse the likely impact of external factors on business decisions made by *TBTS*. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Social factors can help *TBTS* as changes in society shows customers might be demanding more environmentally friendly toys • Technological advances could increase the cost of buying or the price of a range of toys **AO3** • This will make TBTS more competitive and bring more customers into the toy shops as they are acting in a responsible way for the environment whilst selling high quality goods • If the technology in toys increases rapidly then TBTS could be left with unwanted stock as customers buy the newer toys	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Economies and diseconomies of scale

Answer 6 of 11 · Question 1 part c · 1 mark

2022 JUN · Paper 01 · extract 6 of 6 · find part c in this mark scheme extract

Question Number	State **one** way *TBTS* can measure its success as a business **Answer**	**Mark**

Type MS · Economies and diseconomies of scale

Answer 7 of 11 · Question 1 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 1 of 7 · find part b in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – The lowest amount a business can legally pay its employees** **A –** Fixed amount per year and paid monthly – this is not the correct answer as it is a salary **C** – Payment made to an employee for working additional hours – this is not the correct answer as it is overtime **D** – Payment made to an employee for reaching a target – this is not the correct answer as it is a bonus	**(1)**

Question Number	Which **one** of the following describes the cash cow category in the Boston matrix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Low market growth, high market share** **A –** High market growth, high market share – this is not correct as it is the star category **B –** High market growth, low market share - this is not correct as it is the question mark category **D –** Low market growth, low market share - this is not correct as it is the dog category	**(1)**

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Type MS · Economies and diseconomies of scale

Answer 7 of 11 · Question 1 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 2 of 7 · find part b in this mark scheme extract

Question Number	Which **one** of the following would give a business a negative cash flow? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Cash outflow is greater than cash inflow** **A** – Cash inflow is greater than cash outflow – this is not correct as it would give the business positive cash flow **B** – Costs are greater than profits – this is not correct as it would give the business a loss **C** – Profits are greater than costs – this is not correct as it would give the business profit	**(1)**

Question Number	Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – Job description** **B –** Person specification - this is not correct as it is a document outlining person attributes **C –** Application form – this is not correct as it is a form potential employees fill in **D –** Curriculum vitae – this is not correct as it is a document outlining the skills, experiences and qualifications of the potential employee	**(1)**

Question Number	Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – €317.40** **A –** €79.35 – this is not the correct answer as it is the cost of 150 metres of wrapping paper for a week **B –** €276.00 – this is not the correct answer as it is 4 weeks of wrapping paper in pounds **D –** €396.75 – this is not the correct answer as it is 5 weeks of wrapping paper in euros	**(1)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Economies and diseconomies of scale

Answer 7 of 11 · Question 1 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 3 of 7 · find part b in this mark scheme extract

Question Number	Which **one** of the following is the markup for a selection of traditional flowers? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is A – 54.76%** **B –** 64.62% – this is not the correct answer as it is 42/65 x100 **C –** 182.61% – this is not the correct answer as it is 42/23 x100 **D –** 282.61% – this is not the correct answer as it is 65/23 x100	**(1)**

Question Number	Define the term **economies of scale.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **economies of scale.** • A fall in average costs as output increases **(1)**	**(1)**

Question Number	Define the term **stakeholder.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **stakeholder**. • Individuals or groups with an interest in the operation of a business **(1)**	**(1)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Economies and diseconomies of scale

Answer 7 of 11 · Question 1 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 4 of 7 · find part b in this mark scheme extract

Question Number	State **one** benefit to *Aude Rose* of using just-in-time (JIT) production. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a benefit to *Aude Rose* of using just-in-time production in the context of the business. • *Aude Rose* will have less waste as the flowers will be fresh when delivered to the Paris shop **(1)** **NB** Do not accept a benefit that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate how many bunches of flowers will *Aude Rose* have to sell to break-even. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 50 000/(50 – 10) **(1)** = 1 250 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Type MS · Economies and diseconomies of scale

Answer 7 of 11 · Question 1 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 5 of 7 · find part b in this mark scheme extract

Question Number	Explain **one** reason why a business might fail. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a reason why a business might fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • A lack of finance **(1)** from poor cashflow can lead to its failure **(1)** leading to an issue of paying for inventory to sell on to customers **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Economies and diseconomies of scale

Answer 7 of 11 · Question 1 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 6 of 7 · find part b in this mark scheme extract

Question Number	Analyse the importance to Aude Anglaret of motivating her employees. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If the florists are motivated, they could produce more bunches of flowers for sale to customers • The florists are more likely to stay in the flower shop if they are paid more **AO3** • Increased productivity could lead to greater outputs and more sales • Employees who stay will reduce the cost of recruitment and training of new employees	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Type MS · Economies and diseconomies of scale

Answer 7 of 11 · Question 1 part b · 1 mark

2023 JUN · Paper 01 (regional R) · extract 7 of 7 · find part b in this mark scheme extract

Question Number	State **one** fringe benefit *Aude Rose* could offer its employees. **Answer**	**Mark**

Type MS · Economies and diseconomies of scale

Answer 8 of 11 · Question 1 part a.ii · 1 mark

2024 JUN · Paper 01 (regional R) · extract 1 of 6 · find part a.ii in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is C – Retained profit** **A** is not the correct answer as an overdraft is an external source of finance **B** is not the correct answer as crowdfunding is an external source of finance **D** is not correct answer as share capital is an external source of finance	**(1)**

Question Number	Which **one** of the following is a result of average costs rising in a large business? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is B – diseconomies of scale** **A** is not the correct answer as economies of scale are as a result of average costs falling due to an increase in size **C** is not the correct answer as purchasing economies are when large businesses can buy resources at a cheaper rate **D** is not the correct answer as financial economies are when large businesses can borrow money at a cheaper rate	**(1)**

Question Number	Which **one** of the following is the money left after all costs have been subtracted from revenue? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D - Profit** **A** is not the correct answer as gross profit is the profit after the cost of producing the product **B** is not the correct answer as inflows are payments into a business **C** is not the correct answer as a loss will come when there is a minus figure after costs have been subtracted from revenue	**(1)**

Type MS · Economies and diseconomies of scale

Answer 8 of 11 · Question 1 part a.ii · 1 mark

2024 JUN · Paper 01 (regional R) · extract 2 of 6 · find part a.ii in this mark scheme extract

Question Number	Which **one** of the following is a debt payable after 12 months? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – non-current liability** **B** is not the correct answer as a current liability is a debt that is payable within 12 months **C** is not the correct answer as a non-current asset is one that lasts for more than one year **D** is not the correct answer as a current asset is likely to be turned into cash within a year	**(1)**

Question Number	Which **one** of the following is the markup for the mozzarella cheese and avocado Ciabatta? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – 107%** **A** is not the correct answer as 48% is 2.56/5.30 x100 **B** is not the correct answer as 93% is 2.56/2.74 x100 **D** is not the correct answer as 207% is 5.30/2.56 x100	**(1)**

Question Number	Which **one** of the following would *Café Pinch* pay in euros if it bought 50 kilos of potatoes? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is B - €48.81** **A** is not the correct answer as €59.52 is 50kg / £0.84 **C** is not the correct answer as €42.00 is 50kg x £0.84 **D** is not the correct answer as €41.00 is 50kg x £0.82	**(1)**

Question Number	Define the term **variable cost** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **variable cost.** • A cost that changes directly with output **(1)**	**(1)**

Type MS · Economies and diseconomies of scale

Answer 8 of 11 · Question 1 part a.ii · 1 mark

2024 JUN · Paper 01 (regional R) · extract 3 of 6 · find part a.ii in this mark scheme extract

Question Number	Define the term **niche marketing.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **niche marketing**. • Targeting a smaller segment of a market **(1)**	**(1)**

Question Number	State **one** way *Café Pinch* can react to external social factors affecting its business. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a way *Café Pinch* can react to the social factors affecting its business in the context of the business. • They can change their menu to suit people becoming more health conscious **(1)** **NB** Do not accept a way that is not in the context of *Café Pinch.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate what a customer would pay for these three items after the discount is applied. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 14.00 x 0.05 = 0.70 **(1)** 14.00 – 0.70 = 13.30 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Economies and diseconomies of scale

Answer 8 of 11 · Question 1 part a.ii · 1 mark

2024 JUN · Paper 01 (regional R) · extract 4 of 6 · find part a.ii in this mark scheme extract

Question Number	Explain **one** advantage to a start-up business of using a venture capitalist. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of an advantage of using a venture capitalist, plus 2 further marks for explaining the advantage, for a maximum of 3 marks. • Venture capitalists can be specialists **(1)** who may bring skills and new ideas to the business **(1)** giving it a greater chance of success **(1)** **NB** Answers that list three advantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Economies and diseconomies of scale

Answer 8 of 11 · Question 1 part a.ii · 1 mark

2024 JUN · Paper 01 (regional R) · extract 5 of 6 · find part a.ii in this mark scheme extract

Question Number	Analyse the importance to Kumaran, the owner of *Café Pinch,* of having motivated employees. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If waiters serving customers are motivated, they will provide a good service when serving food and drink • If the chefs are motivated, they can come up with new dishes to enhance the menu **AO3** • If the employees/waiters remain motivated, they will continue to want to meet the needs of customers encouraging those customers to keep coming back to the business • This could lead to staff retention and lower recruitment costs	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Economies and diseconomies of scale

Answer 8 of 11 · Question 1 part a.ii · 1 mark

2024 JUN · Paper 01 (regional R) · extract 6 of 6 · find part a.ii in this mark scheme extract

Question Number	State **one** reason why *Café Pinch* might set business objectives. **Answer**	**Mark**

Type MS · Economies and diseconomies of scale

Answer 9 of 11 · Question 3 part a · 1 mark

2024 JUN · Paper 01 · extract 1 of 5 · find part a in this mark scheme extract

Number	Answer	
3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of **diseconomies of scale**. • The rise in average costs of production as a business grows too quickly **(1)**	**(1)**

Question Number	Outline **one** method of primary market research that *PPS* could use to gain feedback on its services. **Answer**	Mark
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a method of primary market research that *PPS* can use to gain feedback on its services, plus 1 further mark for linking it to the context of the question. • Animal owners who have used the pet hotel can be given a questionnaire **(1)** that *PPS* can use to identify possible changes to its kennels **(1)** **NB** Do not accept a method that is not in the context of *PPS*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the closing balance. **Answer**	**Additional guidance**	Mark
3 (c)	**A02 - 2 marks** 22 000 – 20 000 = 2 000 **(1)** 16 000 + 2 000 = 18 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Economies and diseconomies of scale

Answer 9 of 11 · Question 3 part a · 1 mark

2024 JUN · Paper 01 · extract 2 of 5 · find part a in this mark scheme extract

Question Number	Analyse the importance of reliable market research to obtain this information. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • *PPS* will want to find accurate local data about pet owners so it can target its customers better • As *PPS* is a small business it may find it easier to speak to its customers individually to find out the needs of their pets **AO3** • This could lead to *PPS* understanding spending patterns of its customers • This could lead to *PPS* gaining more reliable data directly from its customers	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Economies and diseconomies of scale

Answer 9 of 11 · Question 3 part a · 1 mark

2024 JUN · Paper 01 · extract 3 of 5 · find part a in this mark scheme extract

Question Number	*PPS* is considering two options: **Option 1:** using Rachel's personal savings **Option 2:** taking out a small bank loan. Justify which **one** of these two options *PPS* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – Using personal savings gives *PPS* quick access to the €7 500 they need to buy the CCTV package and build the kennels • **Option 2** – *PPS* can apply for the €7 500 bank loan for an agreed period of time and at a fixed rate of interest **AO3** • **Option 1** – This means the money is readily available to allow for the quick building of kennels and installation of CCTV leading to increased revenue • **Option 2** – This means that *PPS* can spread the cost of repaying the €7 500 bank loan over a longer period of time whilst the new kennels are open **AO4** • **Option 1** – However, Rachel may not have enough savings so may need to look at other sources of finance as well as the personal savings and leaves the business without any surplus for emergencies • **Option 2** – However, interest has to be paid to the bank and this will add to *PPS* costs	**(9)**

Type MS · Economies and diseconomies of scale

Answer 9 of 11 · Question 3 part a · 1 mark

2024 JUN · Paper 01 · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Economies and diseconomies of scale

Answer 9 of 11 · Question 3 part a · 1 mark

2024 JUN · Paper 01 · extract 5 of 5 · find part a in this mark scheme extract

Question Number	Calculate the break-even level of output for this new line of dog treats. **Answer**	**Additional guidance**	**Mark**

Type MS · Economies and diseconomies of scale

Answer 10 of 11 · Question 3 part a · 1 mark

2025 JUN · Paper 01 · extract 1 of 6 · find part a in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of **economies of scale**. • A fall in average costs as output increases **(1)**	**(1)**

Question Number	Outline **one** way quantitative research data might help *Four Fitness* to improve its marketing mix. **Answer**	**Mark**
3 (b)	**AO2 - 2 marks** Award up to 2 marks for linked points outlining a way quantitative research data might help *Four Fitness* improve its marketing mix Award a maximum of 1 mark if points are not linked. • An online survey can gather data on how much people are willing to pay for gym membership **(1)** which could lead to a reduction in price to entice new members **(1)** **NB** To award 2 marks there must be linked points and evidence of application **Accept any other appropriate response.**	**(2)**

Type MS · Economies and diseconomies of scale

Answer 10 of 11 · Question 3 part a · 1 mark

2025 JUN · Paper 01 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Calculate the net cash flow balance. You are advised to show your working. **Answer**	**Additional guidance**	**Mark**
3 (c)	**AO2 - 2 marks** 11 400 **(2)** 60 000 – 48 600 **(1)**	Award full marks for correct numerical answer without working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Question Number	Analyse the benefits to *Four Fitness* of recruiting externally. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It may be useful as it could give a wider field of experienced Marketing Managers who can market the gyms within Italy • It may not be useful as it can be expensive as Gianni will have to advertise, shortlist and interview candidates and it will take him away from his work with the other two gyms **AO3** • This could lead to new ideas giving *Four Fitness* a competitive edge and improving the performance of the business by someone who specialises in marketing • This could lead to the current employees feeling overlooked for the role leaving them demotivated and risking them looking somewhere else to work	**(6)**

Type MS · Economies and diseconomies of scale

Answer 10 of 11 · Question 3 part a · 1 mark

2025 JUN · Paper 01 · extract 3 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Economies and diseconomies of scale

Answer 10 of 11 · Question 3 part a · 1 mark

2025 JUN · Paper 01 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Gianni Polvani operates *Four Fitness* as a sole trader. He is considering a change to the ownership of the business and is looking at two options: **Option 1:** a partnership with three of his employees **Option 2:** a private limited company. Justify which **one** of these two options Gianni should choose. **Indicative content**	**Mark**
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – He will have like-minded health professionals to share the decision making who already work for *Four Fitness* • **Option 2** – Gianni will now have limited liability as will his new shareholders of the gyms **AO3** • **Option 1** – This means they already have knowledge of what works and what does not so can make better decisions for the business • **Option 2** – This means he could take more risks with the business than if he had unlimited liability as a sole trader **AO4** • **Option 1** – However, the decision making maybe wrong because the employees do not have sufficient business experience • **Option 2** – However, he will have to find people interested in the business who want to become shareholders when setting up a private limited company and this might be difficult as it is a small business	**(9)**

Type MS · Economies and diseconomies of scale

Answer 10 of 11 · Question 3 part a · 1 mark

2025 JUN · Paper 01 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Economies and diseconomies of scale

Answer 10 of 11 · Question 3 part a · 1 mark

2025 JUN · Paper 01 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Calculate, to **two** decimal places, the gross profit margin. **Answer**	Additional guidance	Mark

Type MS · Economies and diseconomies of scale

Answer 11 of 11 · Question 2 part e · 3 marks

2019 JUN · Paper 01 (regional R) · extract 1 of 6 · find part e in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for any valid method of motivation in the context of the business. • Job rotation between L.cafe, L.bistro and L.table **(1).** • Job enrichment to give more complex tasks other than just serving customers **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**AO2 - 1 mark** Award 1 mark for any valid responsibility of the finance function in the context of the business. Calculate and pay the wages/salaries of the staff in *L.table* **(1).** Pay suppliers of baking ingredients on time **(1).** **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (c)	**AO1 - 3 marks** Award 1 mark for identification of a way a business can use penetration pricing, plus 2 further marks for explaining this way, for a maximum of 3 marks. • A business can offer a low price for a new product **(1).** This will entice customers to try the new product in its introduction stage **(1)** and stop them from buying from the competitors **(1).** Answers that list three ways with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Economies and diseconomies of scale

Answer 11 of 11 · Question 2 part e · 3 marks

2019 JUN · Paper 01 (regional R) · extract 2 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark
2 (d)	**AO1 - 3 marks** Award 1 mark for identification of a reason why a business would have a short span of control, plus 2 further marks for explaining this reason, for a for a maximum of 3 marks. • This will allow the business to have better communication with its employees **(1)** as messages have less levels to go through **(1)** leading to a more productive workforce **(1).** Answers that list three reasons with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (e)	**AO1 - 3 marks** Award 1 mark for identification of a reason why diseconomies of scale may occur, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • The business gets too big **(1)** employees can become demotivated **(1),** which could result in falling productivity levels **(1).** Answers that list more than one reason with no explanation will get a maximum of one mark. **Accept any other appropriate response.**	**(3)**

Type MS · Economies and diseconomies of scale

Answer 11 of 11 · Question 2 part e · 3 marks

2019 JUN · Paper 01 (regional R) · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • Option 1 – Each outlet could match the needs of the local customers. • Option 2 – *Lavender* could use Flow Production to make all its cakes the same for all outlets. **AO3** • Options 1 – The needs of the customers from that area will be met and sales will increase. • Option 2 – Lavender could produce more cakes in less time, thus ensuring supplies to all its outlets. **AO4** • Option 1 – However, there will not be consistencies across all outlets and that will make the movement of employees difficult. • Option 2 – However, flow production is very difficult to change and cannot take in to account regional tastes and if the cakes do not sell then there is a potential for the business to make a loss.	**(9)**

Type MS · Economies and diseconomies of scale

Answer 11 of 11 · Question 2 part e · 3 marks

2019 JUN · Paper 01 (regional R) · extract 4 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Economies and diseconomies of scale

Answer 11 of 11 · Question 2 part e · 3 marks

2019 JUN · Paper 01 (regional R) · extract 5 of 6 · find part e in this mark scheme extract

Type MS · Economies and diseconomies of scale

Answer 11 of 11 · Question 2 part e · 3 marks

2019 JUN · Paper 01 (regional R) · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Answer	Mark